

Prepare the Common Size Balance sheet of R Ltd. as at 31st March 2016

Liabilities	Amount	Assets	Amount
Equity share Capital	8,00,000	Fixed Assets	10,00,000
Preference share capital	4,00,000	Investments	2,00,000
Reserves and Surplus	2,00,000	Current Assets	7,00,000
Debentures	2,00,000		
Current Liabilities	3,00,000		
Total	19,00,000	Total	19,00,000

Following is the Balance Sheet of RM Limited as on 31st March, 2014.

Liabilities	₹	Assets	₹
Share Capital	1,50,000	Goodwill	20,000
Securities Premium Account	80,000	Machinery	1,00,000
General Reserve	60,000	Premises	2,40,000
Capital Reserve	20,000	Furniture	10,000
6% Govt. Loan	50,000	Govt. Bonds	8,000
Bank Loan (Long Term)	35,000	Debtors	70,000
Bank Overdraft	1,10,000	Stock	80,000

7.3 Both BS and P & L

Illustration 16 : (From Horizontal Balance Sheet & Vertical P & L A/c)

ABCLE and SQUARE are carrying on partnership business. Their position as on 31st March 2017 and 2016 is as follows :

The Summarised Balance Sheet

Liabilities	2017 ₹	2016 ₹	Assets	2017 ₹	2016 ₹
Capital Accounts	71,750	59,500	Fixed Assets	52,500	43,750
Bank Loans	14,000	10,500	Investments	3,500	1,750
Sundry Creditors	38,500	35,000	Stock in Trade	21,000	17,500
			Sundry Debtors	31,500	26,250
			Loans and Advances	14,000	14,000
			Cash and Bank	1,750	1,750
	<u>1,24,250</u>	<u>1,05,000</u>		<u>1,24,250</u>	<u>1,05,000</u>

i) Summarised Income Statement

Particulars	2017 ₹	2016 ₹
Net Sales	42,000	38,500
Less : Cost of sales	<u>31,500</u>	<u>29,750</u>
Gross Margin	10,500	8,750
Operating Expenses	8,750	7,000
Net Profit before Tax	<u>1,750</u>	<u>1,750</u>

Prepare a comparative statement.

Solution :

Sales		1,00,000	2,00,000
Cost of Goods Sold		60% of Sales	70% of Sales
Indirect Expenses		10% of Gross Profit	
Rate of Income Tax		50% of Net Profit Before Tax	

Q.7 : Prepare a comparative income statement from the following information :

Particulars	2016 ₹	2017 ₹
Gross Sales	1,20,200	1,35,800
Sales Returns	5,200	3,800
Cost of Goods Sold	80,000	84,000
Operating Expenses	12,000	9,000
Income Tax	50%	50%

(B) **Balance Sheet**

Q.8 : From the following summarised Balance Sheets as at 31st March prepare a Comparative Balance Sheet of X Ltd. as at that date :

Liabilities	2016 ₹	2017 ₹	Assets	2016 ₹	2017 ₹
Equity Share Capital	60,00,000	60,00,000	Fixed Assets	90,00,000	1,08,00,000
Preference Share			Investments	15,00,000	15,00,000
Capital	15,00,000	15,00,000	Current Assets	45,00,000	31,50,000
Reserve & Surplus	15,00,000	18,00,000			
Long term Loans	30,00,000	27,00,000			
Short term Loans	15,00,000	18,00,000			
Current Liabilities	12,00,000	13,20,000			
Provisions for					
Taxation	3,00,000	3,30,000			
	1,50,00,000	1,54,50,000		1,50,00,000	1,54,50,000

Q.9 : Prepare a comparative Balance Sheet of XY Ltd. :

2016 2017

Example 6 :

The following is the balance sheet of E Company Ltd.

Liabilities	₹	Assets	₹
Authorised Share Capital		Fixed Assets	
500 9.5% Cumulative Pref. Shares of ₹ 100 each	50,000	Plant & Machinery 2,48,300	
20,000 equity Shares of ₹ 10	2,00,000	Less: Depreciation <u>39,000</u>	2,09,300
Issued Capital:		Stock in Trade	98,500
500 9.5% Cumulative Preference Shares fully paid of ₹ 100 each	50,000	Trade Debt 95,000	
20,000 equity Shares of ₹ 10		Less: Provision for doubtful	
₹ 5 per share paid up	1,00,000	Debts <u>3,000</u>	92,000
Security Premium	52,000	Bills receivable	7,000
Profit and Loss A/c.	40,000	Prepaid expenses	5,000
Trade Creditors	1,00,000	Cash	1,200
Bank overdraft	20,000		
9% Debentures of ₹ 100 each	50,000		
Outstanding expenses	1,000		
	4,13,000		4,13,000

From the above balance sheet calculate the following:

- (1) Current ratio, (2) Liquid ratio, (3) Proprietary ratio, (4) Capital gearing ratio,

$$= \frac{7,20,000}{11,14,000} \times 100 = 0.65:1$$

$$(2) \text{ Stock Working Capital Ratio} = \frac{\text{Stock}}{\text{Working Capital}} \times 100$$

$$= \frac{60,000}{30,000} \times 100$$

$$= 200\%$$

Comments :

- (1) **Proprietary Ratio** of 0.65 : 1, indicates that 65% of the total assets have been financed by the owners which signifies long term financial stability.
- (2) **Stock-working Capital** of 200% show blocking of funds in possible slow-moving or obsolete stocks. The Inventory control is unsatisfactory.

Example 4 :

Following is the Balance Sheet of C Ltd. as on 31st March 2011.

Liabilities	₹	Assets	₹
General Reserve	2,15,000	Stock	1,48,750
Bank Overdraft	91,000	Plant and Machinery	5,51,250
12% Debentures	1,34,000	Prepaid Salary	12,250
16% Pref. Share Capital	1,75,000	Goodwill	1,35,000
Equity Share Capital	4,50,000	Advance Tax	85,750
Bills Payable	79,000	Bills Receivable	43,000
Profit and Loss Account	2,30,000	Cash	49,000
Sundry Creditors	1,82,000	Preliminary Expenses	52,500
Income Received in Advance	17,500	Debtors	2,14,000
Accumulated Depreciation:		Land and Building	4,40,000
on Land and Building	52,000	Patents	1,10,000
on Plant and Machinery	1,31,000		
Security Premium	85,000		
Total	18,41,500	Total	18,41,500

You are required to rearrange the Balance sheet in Vertical form.

Calculate the following ratios (a) Liquid Ratio (b) Proprietary Ratio. (c) Capital Gearing ratio.

Proprietary Ratio

$$= \frac{58,000}{27,000} = 2.15 : 1$$

$$= \frac{\text{Proprietor's Fund}}{\text{Total Assets}} \times 100$$

$$= \frac{27,000}{1,00,000} \times 100 = 27\%$$

$$\text{Capital Gearing Ratio} = \frac{\text{Capital entitled to fixed interest or dividend}}{\text{Capital not so entitled to fixed interest or dividend}}$$

$$= \frac{\text{Debentures}}{\text{Equity Shareholders Funds}} = \frac{58,000}{27,000} = 2.15 : 1$$

Example 3 :

Following is the Balance Sheet of B Ltd.

Balance Sheet as on 31st March, 2015

Liabilities	₹	Assets	₹
Share Capital :		Goodwill	70,000
Equity	2,00,000	Office Building	4,40,000
8% Preference	2,00,000	Machinery	2,00,000
16% Debenture	80,000	Patents	60,000
15% Bank Loan	40,000	Investments	40,000
Reserves	3,16,000	Debtors	1,40,000
Creditors	1,20,000	Prepaid Insurance	20,000
Bank Overdraft	80,000	Stock	60,000
Outstanding Rent	14,000	Cash in Hand	14,000
Provision for Tax	30,000	Bills receivable	70,000
proposed Dividend	30,000	Preliminary Expenses	36,000
Profit and Loss A/c	40,000		
	11,50,000		11,50,000

You are required to calculate :

(a) Proprietary Ratio (a) Stock-Working Capital Ratio and comment thereon.

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SOLVED QUESTIONS**Question : 1 (Credit Period Management)**

Credit Period
Radiance Garments Ltd. manufactures readymade garments and sells them on credit basis through a network of dealers. Its present sale is ₹ 60 lakh per annum with 20 days credit period. The company is contemplating an increase in the credit period with a view to increasing sales. Present variable costs are 70% of sales and the total fixed costs Rs 8 lakh per annum. The company expects pre-tax return on investment @ 25%. Some other details are given as under:

Proposed Credit Policy	Average Collection Period (Days)	Expected Annual Sales
I	30	65
II	40	70
III	50	74
IV	60	75

Required: Which credit policy should the company adopt? Present your answer in a tabular form. Assume 360- days a year. Calculations should be made upto two digits after decimal.

Solution :

(₹ in Lakhs)

Details	Present Policy	I	II	III	IV
Credit Period	20 Days	30 Days	40 Days	50 Days	60 Days
Sales	60.00	65.00	70.00	74.00	75.00
- Variable Cost	42.00	45.50	49.00	51.80	52.50
- Fixed Cost	8.00	8.00	8.00	8.00	8.00
- Bad Debts	--	--	--	--	--
- Opportunity Cost	0.69	1.11	1.58	2.08	2.52
Profit	9.31	10.39	11.42	12.12	11.98

Decision : The company should shift from the existing policy of 20 days to the new policy of 50 days as it maximizes the profits.

Working Notes

* Opportunity Cost = (Variable Cost + Fixed cost) x Average Credit Period x Expected Return

$$1. \text{ Present Policy} = 50.00 \times \frac{20}{360} \times 25\% = 0.69$$

$$2. \text{ Policy I} = 53.50 \times \frac{30}{360} \times 25\% = 1.11$$

$$3. \text{ Policy II} = 57.00 \times \frac{40}{360} \times 25\% = 1.58$$

4. Policy III $= 59.80 \times \frac{50}{360} \times 25\% = 2.08$
5. Policy IV $= 60.50 \times \frac{60}{360} \times 25\% = 2.52$

Question : 2 (Credit Period Management)

JKL Ltd. is considering the revision of its credit policy with a view to increasing its sales and profit. Currently all its sales are on credit and the customers are given one month's time to settle the dues. It has a contribution of 40% on sales and it can raise additional funds at a cost of 20% per annum. The marketing manager of the company has given the following options along with estimates for considerations:

Particulars	Current position	I Option	II Option	III Option
Sales (Rs in lakhs)	200	210	220	250
Credit period (in months)	1	1 1/2	2	3
Bad debts (% of sales)	2	2 1/2	3	5
Cost of Credit administration (Rs in lakhs)	1.20	1.30	1.50	3.00

You are required to advise the company for the best option.

Solution :

(Rs in Lakhs)

Details	Present Policy	I	II	III
Credit Period	1 month	1.5 months	2 months	3 months
Sales	200.00	210.00	220	250
- Variable Cost (60%)	120.00	126.00	132	150
- Fixed Cost	--	--	--	--
- Bad Debts	4.00	5.25	6.60	12.50
- Credit Administration	1.20	1.30	1.50	3.00
- Opportunity Cost	2.00	3.15	4.40	7.50
Profit	72.80	74.30	75.50	77.00

Decision : The company should change the existing policy of 1 month to the new policy of 3 months as it maximizes the profit.

Working Notes

Opportunity Cost = (Variable Cost + Fixed cost) x Average Credit Period x Expected Return

1. Present Policy $= 120.00 \times \frac{1}{12} \times 20\% = 2$

2. Policy I $= 126.00 \times \frac{1.5}{12} \times 20\% = 3.15$

3. Policy II $= 132.00 \times \frac{2}{12} \times 20\% = 4.4$
4. Policy III $= 150.00 \times \frac{3}{12} \times 20\% = 7.5$

Note : Bad Debts and cost of credit administration should not be taken into consideration while calculating opportunity cost. The argument for ignoring them is that they are not incurred for creation of debtors. They are incurred only after sales are affected. They are not blocked for credit period.

Question : 3 (Credit Period Management)

A company currently has an annual turnover of ₹ 50 lakhs and an average collection period of 30 days. The company wants to experiment with a more liberal credit Policy on the ground that increase in collection period will generate additional sales.

From the following information, kindly indicate which policy the company should adopt:

Credit Policy	Average Collection Period	Annual Sales (Rs. Lakhs)
A	45 Days	56
B	60 Days	60
C	75 Days	62
D	90 Days	63

Costs: Variable cost : 80% of sales

Fixed cost : Rs 6 lakhs per annum

Required (Pre-tax) return on investment : 20%

A year may be taken to comprise of 360 days.

Solution :

Details	Present Policy	I	II	III	IV
Credit Period	30 Days	45 Days	60 Days	75 Days	90 Days
Sales	50,00,000	56,00,000	60,00,000	62,00,000	63,00,000
Variable Cost	40,00,000	44,80,000	48,00,000	49,60,000	50,40,000
Fixed Cost	6,00,000	6,00,000	6,00,000	6,00,000	6,00,000
Bad Debts	--	--	--	--	--
Opportunity Cost	76,667	1,27,000	1,80,000	2,31,667	2,82,000
Profit	3,23,333	3,93,000	4,20,000	4,08,333	3,78,000

Decision : The company should shift from the existing policy of 30 days to a new policy of 60 days as it maximizes the profits.

Working Notes

Opportunity Cost = (Variable Cost + Fixed cost) x Average Credit Period x Expected Return

$$\text{Present Policy} = 46,00,000 \times \frac{30}{360} \times 20\% = 76,667$$

$$\text{Policy I} = 50,80,000 \times \frac{45}{360} \times 20\% = 1,27,000$$

$$\text{Policy II} = 54,00,000 \times \frac{60}{360} \times 20\% = 1,80,000$$

$$\text{Policy III} = 55,60,000 \times \frac{75}{360} \times 20\% = 2,31,667$$

$$\text{Policy IV} = 56,40,000 \times \frac{90}{360} \times 20\% = 2,82,000$$

Question : 4 (Credit Period Management)

RST Limited is considering relaxing its present credit policy and is in the process of evaluating two proposed policies. Currently, the firm has annual credit sales of ₹ 225 lakhs and accounts receivable turnover ratio of 5 times a year. The current level of loss due to bad debts is ₹ 7,50,000. The firm is required to give a return of 20% on the investment in new accounts receivables. The company's variable costs are 60% of the selling price. Given the following information, which is a better option?

	Present Policy	Policy option I	Policy Option II
Annual credit sales(₹)	225	275	350
Account receivable turnover ratio	5	4	3
Bad debt losses (₹)	7.5	22.5	47.5

Solution :

(₹ In Lakhs)

Details	Present Policy	I	II
Debtors Turnover	5 times	4 times	3 times
Collection Period	2.4 months	3 months	4 months
Sales	225.00	275.00	350.00
- Variable Cost (60%)	135.00	165.00	210.00
- Fixed Cost	--	--	--
- Bad Debts	7.50	22.50	47.50
- Opportunity Cost	5.40	8.25	14.00
Profit	77.10	79.25	78.5